Chapter 16

No Fooling Around: Rules and Regulations

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First off, I'd like to apologize for having to include this chapter. Unfortunately, rules are a part of life and part of the SIE. When you're reading this, please remember that I didn't make the rules — but I do my best to make them as easy to digest as possible. Rules have become increasingly important on FINRA securities exams like the SIE, especially since the Patriot Act came into the picture.

In this chapter, I cover topics related to rules and regulations. First, I help you understand who the guardians of the market are and their roles in protecting customers and enforcing rules. I also place considerable emphasis on opening, closing, transferring, and handling customers' accounts. And of course, I provide practice questions to guide you on your way.

The Market Watchdogs: Securities Regulatory Organizations

To keep the market running smoothly and to make sure investors aren't abused (at least too much), regulatory organizations stay on the lookout. Although you don't need to know all the minute details about each of them, you do have to know the basics.

The Securities and Exchange Commission

The Securities and Exchange Commission, or SEC, is the major watchdog of the securities industry. Congress created the SEC to regulate the market and to protect investors from fraudulent and manipulative practices. All broker-dealers who transact business with investors and other broker-dealers must register with the SEC. And that registration means something: All broker-dealers have to comply with SEC rules or face censure (an official reprimand), limits on activity, suspension or suspension of one or more associated persons (such as a registered rep or principal), a fine, and/or having their registration revoked.

REMEMBER SEC investigations may lead to a civil (financial) complaint being filed in a federal court. The SEC may seek disgorgement (taking away) of ill-gotten gains, civil money penalties, and injunctive relief (a cease-and-desist order from the court). If the matter is criminal in nature, the investigation is conducted by the U.S. Attorney's Office and the grand jury.

Among its other numerous functions, you need to be aware that the SEC also enforces the following acts:

- **The Securities Act of 1933:** The Act of 1933 requires the full and fair disclosure of all material information about a new issue.

- **The Securities Exchange Act of 1934:** The Act of 1934, which established the SEC, was enacted to protect investors by regulating the over-the-counter (OTC) market and exchanges (such as the NYSE). Chapter 14 tells you more about markets. In addition, the Act of 1934 regulates
  - The extension of credit in margin accounts (see Chapter 12)
  - The registration and regulation of brokers and dealers
  - The registration of securities associations
  - Transactions by insiders
  - Customer accounts
  - Trading activities
- **The Trust Indenture Act of 1939:** This act prohibits bond issues valued at over $5 million from being offered to investors without an indenture. The trust *indenture* is a written agreement that protects investors by disclosing the particulars of the issue (the coupon rate, the maturity date, any collateral backing the bond, and so on). As part of the Trust Indenture Act of 1939, all companies must hire a trustee who's responsible for protecting the rights of bondholders.
- **The Investment Company Act of 1940:** This act regulates the registration requirements and the activities of investment companies.
- **The Investment Advisers Act of 1940:** This act requires the registration of certain investment advisers with the SEC. An investment adviser is a person who receives a fee for giving investment advice. Any investment adviser with at least $25 million of assets under management or anyone who advises an investment company must register with the SEC. All other investment advisers have to register on the state level. The Investment Advisers Act of 1940 regulates
  - Record-keeping responsibilities
  - Advisory contracts
  - Advertising rules
  - Custody of customers' assets and funds

Self-regulatory organizations

As you can imagine, due to the unscrupulous nature of some investors and registered representatives, the SEC's job is overwhelming. Fortunately, a few self-regulatory organizations (SROs) are there to take some of the burden off of the SEC's shoulders. Although membership isn't mandatory, most broker-dealers are members of one or more SROs. SRO rules are usually stricter than those of the SEC.

The four types of SROs you need to know for the SIE are the FINRA, MSRB, NYSE, and CBOE:

- **The FINRA (Financial Industry Regulatory Authority):** The FINRA is a self-regulatory organization that's responsible for the operation and regulation of the over-the-counter market, investment banking (the underwriting of securities), New York Stock Exchange (NYSE) trades, investment companies, limited partnerships, and so on. The FINRA was created in 2007 and is a consolidation of the NASD (National Association of Securities Dealers) and the regulation and enforcement portions of the NYSE (New York Stock Exchange). FINRA is responsible for making sure that its members not only follow FINRA rules but also the rules set forth by the SEC. Additionally, the FINRA is responsible for the handling of complaints against member firms and may take disciplinary action, if necessary. The FINRA is also responsible for administering securities exams such as the SIE (now you know who to blame). FINRA has strict rules (as the other SROs do, I suspect) regarding filing of misleading, incomplete, or inaccurate information as to membership or registration regarding the firm's registration or registration of member associates.
- **The Municipal Securities Rulemaking Board:** The MSRB was established to develop rules that banks and securities firms have to follow when underwriting, selling, buying, and recommending municipal securities (check out Chapter 8 for info on municipal bonds). The MSRB is subject to SEC oversight but does not enforce SEC rules.

REMEMBER The MSRB makes rules for firms (and representatives) who sell municipal bonds but doesn't enforce them — it leaves that up to FINRA.

- **The New York Stock Exchange:** The NYSE is the oldest and largest stock exchange in the United States. The NYSE is responsible for listing securities, setting exchange policies, and supervising the exchange and member firms. The NYSE has the power to take disciplinary action against member firms.
- **The Chicago Board Options Exchange:** The CBOE is an exchange that makes and enforces option exchange rules.

REMEMBER Although SROs may be independent, they do work together creating and enforcing rules. FINRA and NYSE can fine, suspend, censure (reprimand), and expel members; however, the FINRA and NYSE can't imprison members who violate the rules and regulations.

TIP Look at SIE questions with the words *guarantee* or *approve* in them very carefully. The FINRA, SEC, NYSE, and so on do *not* approve or guarantee securities. Any statement that says that they do is false. In addition, because a firm is registered with (or didn't have its registration revoked by) an SRO it does not mean that the SRO approves of the firm, its financial standing, its business, its conduct, and so on. So, member firms and their associates may not claim that they've been approved by the SEC or any SRO.

Investor education and protection

As a way of keeping clients up to date, member firms must send info to customers yearly in writing (which may be electronic). Included in the yearly info is FINRA's BrokerCheck hotline number, FINRA's website address, and a statement as to the availability of an investment brochure.

State regulators

The North American Securities Administrators Association (NASAA) is devoted to investor protection. It is a voluntary association whose membership consists of 67 regulators. NASAA even predates the creation of the SEC (Securities and Exchange Commission). Its key roles include

- Licensing stockbrokers, smaller investment advisor firms (ones managing less than $100 million in assets), and securities firms conducting business in the state.
- Registering securities on the state level.
- Investigating customer complaints and possible cases of investment fraud.
- Enforcing state securities laws. As such, the NASAA may fine, penalize, provide restitution to investors, assist in prosecuting investment-related criminals, and impose new conduct laws to correct problems as they arise.
- Examining investment advisor firms and broker-dealers to ensure compliance with securities laws and making sure they keep accurate client records.
- Reviewing offerings that are not exempt from state law.
- Providing education to investors regarding their rights and providing information so that they can make more informed financial decisions.
- Advocating for the passage of state securities laws.

TIP Don't go crazy trying to remember every minute detail regarding the NASAA; you'll have to know more when taking the Series

63, Series 65, or Series 66. Get a general feeling for what they do so that you're able to recognize them in a question.

Department of the Treasury/IRS

The United States Department of the Treasury (USDT) was established to manage U.S. government revenue. As such, the USDT oversees the printing of all paper currency and minting of all coins. In addition, it is responsible for collecting taxes through the Internal Revenue Service (IRS), it is responsible for managing U.S. government debt securities (T-bonds, T-notes, T-bills, and so on), it licenses banks, and it helps advise U.S. government branches regarding fiscal policy.

FINRA Registration and Reporting Requirements

Persons wanting to register as financial professionals with FINRA (like you) must submit a U4 form. The application includes things like a ten-year employment history and a five-year residential history; if you're registered with another firm, how you're registering (Securities Trader, Financial and Operations Principal, General Securities Representative, and a slew more); states you want to be registered in; and so on. In addition, applicants must submit their fingerprints.

All U4 forms (`www.finra.org/file/form-u4-uniform-application-securities-industry-registration-or-transfer`) must be thoroughly reviewed by a principal of the firm. Background checks must be performed, and the applicant's employers for the previous three years must be called to verify the applicant's employment history. The calls must be made within 30 days of the firm receiving the U4 form. Special scrutiny of the applicant is required if the applicant has previously worked in the securities industry. Information contained in the U4 form must be complete and not misleading.

The U4 form also contains an *arbitration disclosure,* which states that disputes between the applicant and the member firm will be settled by arbitration.

TIP Although there is a lot of information listed here that can disqualify a person, most of the information follows a common theme, which makes sense, and you shouldn't have to memorize it all. However, I would suggest you be aware of the ten-year disqualification rule if an individual has been convicted of a felony or certain misdemeanors. In addition, if a registrant includes misleading information or omits information, her registration will be denied.

Note: Non-registered persons may not solicit customers or take orders. In addition, member firms are prohibited from paying commissions, fees, concessions, discounts, and so on to any person who is not registered. The failure of a member firm to register someone who should be registered will likely end in disciplinary action by FINRA.

Disqualification

A person will be *statutorily disqualified* from membership from FINRA under the following circumstances:

- If he had a felony criminal conviction or certain misdemeanor convictions within the last ten years.
- If he has had a temporary or permanent injunction (no matter what his age) issued by a court involving a long list of unlawful investment activities.
- If he has been expelled, barred, or is currently suspended from membership or participation in another self-regulatory organization. This holds true even if the person has been barred with the right to reapply.

- If he has been barred or current suspension orders are coming from the SEC (Securities and Exchange Commission), CFTC (Commodity Futures Trading Commission), or any other appropriate authority or regulatory agency. As with the preceding rule, this holds true even if the person has been barred with the right to reapply.
- If he has been denied or had his registration revoked by the CFTC, SEC, or any other appropriate authority or regulatory agency.
- If it has been found that a member or person has made certain false statements in his application, in reports, or in proceedings before the SEC, SROs, or any other appropriate regulatory authority or agency.
- If any final order from a state securities commission (or from any agency or state officer performing similar functions), savings association, credit union, any state authority that examines or supervises banks, state insurance commission (or any office or agency performing similar functions), an appropriate federal banking agency, or the National Credit Union Administration
  - Bars said person from association with an entity (such as a broker-dealer, investment advisory firm, and so on) regulated by such commission, agency, authority, or officer, or from engaging in the business of banking, insurance, securities, savings association activities, or credit union activities
  - Constitutes a final order based on violations of any regulations or laws that prohibit manipulative, fraudulent, or deceptive conduct
- If the SEC, CFTC, or any SRO finds that a person
  1. "Willfully" violated federal securities laws, "willfully" violated commodities laws, or "willfully" violated MSRB (Municipal Securities Rulemaking Board) rules
  2. "Willfully" aided, commanded, induced, abetted, counseled, or procured violations as set forth in the preceding rule
  3. Failed to supervise another person who committed violations as set forth in rule number one
- If he has certain associations with disqualified persons.

Fingerprints

Under SEC Rule 17f-2 (you don't have to remember the rule number), all employees of a brokerage firm are required to be fingerprinted if they are involved in any of the following activities:

- Making sales
- Handling assets (cash and/or certificates)
- Accessing original books and records
- Supervising any of the preceding activities

Fingerprints are always required when a person is applying for registration. The fingerprints must be submitted as well as the U4 form. If FINRA doesn't receive the fingerprints within 30 days of the U4 being submitted, the applicant's registration will be deemed inactive.

REMEMBER The information you provide and your investment professional history don't remain in a bubble. The Central Registration Depository's (CRD's) BrokerCheck allows investors access to vital information that they may need to help them pick the right firm and the right professional, like you. Don't worry; it won't disclose your address, social security number, and the like. However, it will disclose complaints against you and your employer, where you and your employer are registered, exams you passed, if you were convicted or pled guilty to a crime, if you or your broker have been expelled from an SRO, and so on. If a member maintains a website, the site must provide a link to BrokerCheck.

Continuing education

Yes, even after you've passed your securities exams like this one, you're not done. You're required to take continuing education programs as required by FINRA. There are two different elements to continuing education that are a requirement: the firm element and the regulatory element.

Firm element

Member firms must have annual meetings covering the services and strategies offered by the firm. In addition, the meeting must cover any recent regulatory developments, if any. The meetings must be interactive and allow people to ask questions. All registered persons who have direct contact with the public must attend the meeting. All firms must have continuing and current education programs for their covered employees.

Regulatory element

All registered persons are required to take a computer-based training session covering FINRA regulations within 120 days of the registered person's second anniversary and every three years after that. In the event that the training isn't taken within the required period, the person's securities license(s) will be deactivated until it's completed. If the registered person's licenses have been deactivated for two years, the individual will be administratively terminated. If administratively terminated, the person must reapply for registration.

Resignation and termination

If you leave your firm for whatever reason, the member firm you were working for has to file a U5 form with the CRD within 30 days of the date you resigned or were terminated. You will also receive a copy for your records. The U5 form requires the member firm to provide an explanation of why you left or why you were terminated. If you're moving to a new member firm, your new employer must file a new U4 form and receive a copy of the U5 filed by your former employer.

REMEMBER Things sometimes change, so, if something on your U4 or U5 form is or becomes inaccurate, your firm must update the information on the CRD. This could be something as simple as an address change or some sort of violation or felony conviction.

TIP Don’t wait too long going from one firm to another. After a U5 form has been filed on your behalf, you have up to two years to get registered with another firm or you’ll have to take your securities exams all over again. You certainly don’t want that to happen.

Associated persons exempt from registration

Certain individuals who work for a member firm are exempt from FINRA registration. These include

- Persons whose functions are solely clerical or ministerial
- Persons solely affecting transactions on the floor of a national securities exchange and who are registered with that exchange
- Persons whose function is solely and exclusively involved in transactions of municipal securities
- Persons whose function is solely and exclusively involved in transactions of commodities
- Persons whose function is solely and exclusively involved in transactions in securities futures, as long as that person is registered with a registered futures association

Reporting requirements

Under FINRA Rule 4530, member firms must report specified events, including quarterly statistical and summary information regarding customer complaints, and copies of certain civil and criminal actions.

Members must report promptly (no later than 30 days after the member knows or should've known about the event) if the member or associated person of the member

- Has been found to have violated any securities-related or non-securities-related investment laws or standards of conduct by a U.S. or foreign regulatory organization
- Is the subject of a written customer complaint involving allegations of theft or misappropriation of funds or securities
- Is the subject of a written customer complaint involving allegations of forgery
- Has been named as a defendant or respondent in a proceeding brought by a U.S. or foreign regulatory body alleging a violation of rules
- Has been denied registration, suspended, expelled, or disciplined by a U.S. or foreign regulatory organization
- Is indicted, convicted of, or pleads guilty to any felony or certain misdemeanors in or outside of the U.S.

REMEMBER The preceding list includes firm reporting requirements under Rule 4530, but firms are required to report certain other events too. These include

- Outside business activities (covered in the following section).
- Private securities transactions, which are transactions outside the broker-dealer's normal business. For argument's sake, say that an associate of a firm has a client who wants to trade options, but his firm doesn't trade options because it doesn't have an options principal. In this case, with permission of his firm, he can accept the order from his client and do the trade through another firm.
- Political contributions and consequences for exceeding dollar contribution thresholds (see "Avoiding violations" later in the chapter).
- Felonies, financial-related misdemeanors, liens, bankruptcies.

Outside business activities

While you're building your business and getting new clients, you may feel the need to make a few extra bucks working another job. If so, you must notify your brokerage firm in writing. However, you don't need to receive written permission to work the other job. Your member firm may reject or restrict your outside work if it feels there is a conflict of interest.

Accounts at other broker-dealers and financial institutions

Although you probably won't do this, persons associated with a member firm may open an account at another member firm (executing firm) with prior written permission from the employing firm. The associated person must also let the executing firm know that she is working for another member firm. Duplicate confirmations and statements must be sent to the employing firm if requested.

Trading by the Book When the Account Is Open

After you've opened a new account, you have to follow additional rules and regulations to keep working in the business. You need to know how to receive trade instructions and how to fill out an order ticket, as well as settlement and payment dates for different securities.

Filling out an order ticket

When you're working as a registered rep, completing documents such as order tickets will become second nature because you'll have them in front of you. When you're taking the SIE, you don't have that luxury, but you still need to know the particulars about what to fill out.

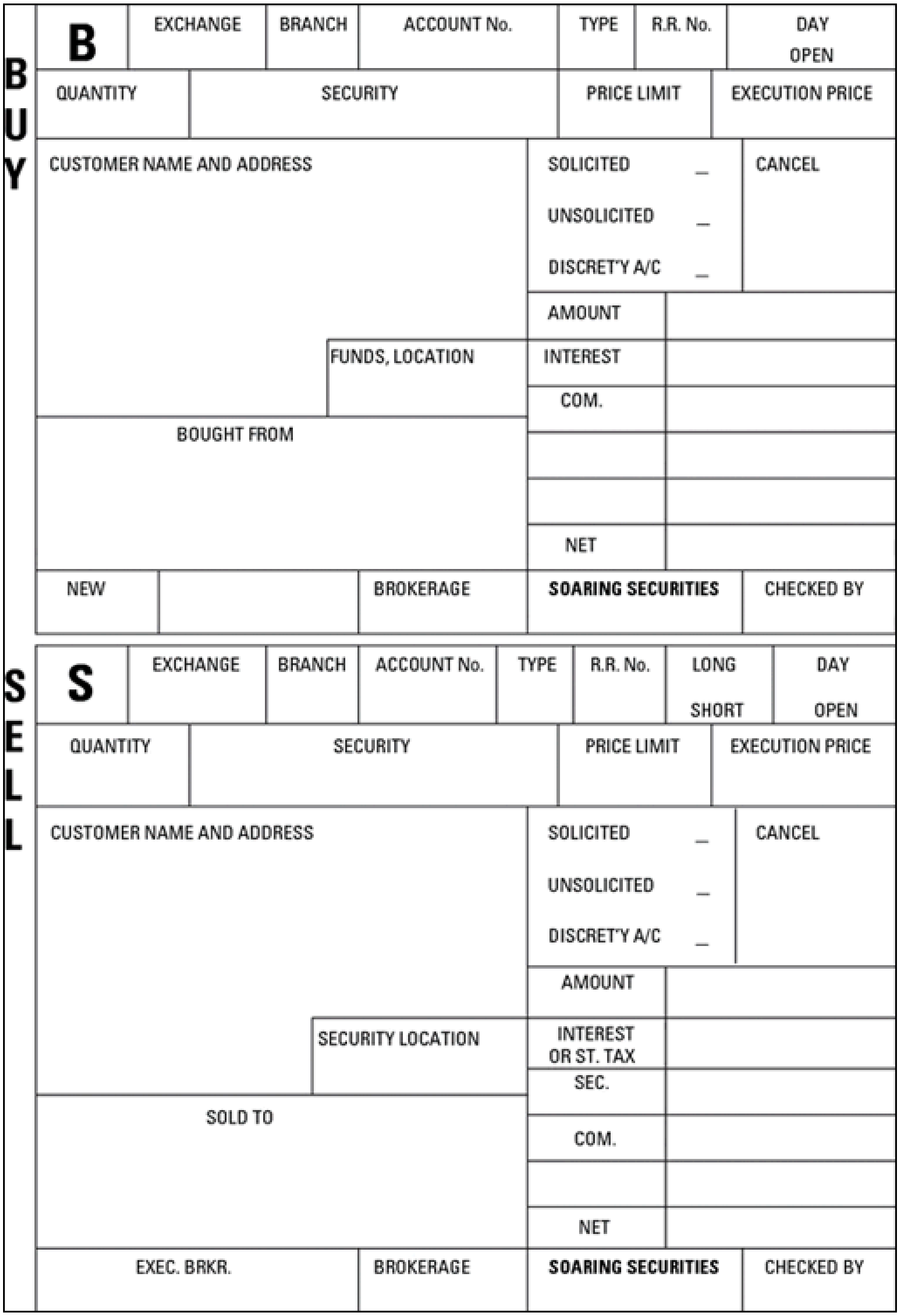
Getting the particulars on paper (or in binary form)

When your customer places an order, you have to fill out an order ticket. Order tickets may be on paper or entered electronically.

Regardless of how you enter the order, it needs to contain the following information:

- The registered rep's identification number
- The customer's account number
- The description of the security (stocks, bonds, symbol, and so on)
- The number of shares or bonds that are being purchased or sold
- Whether the registered rep has discretionary authority over the account
- Whether the customer is buying, selling long (selling securities that are owned), or selling short (selling borrowed securities — see Chapter 12)
- For option tickets, whether the customer is buying or writing (selling), is covered or uncovered, and is opening or closing (see Chapter 11 for info on options)
- Whether it's a market order, good-till-canceled (GTC) order, day order, and so on
- Whether the trade is executed in a cash or margin account
- Whether the trade was solicited or unsolicited
- The time of the order
- The execution price

Figure 16-1 shows you what standard paper order tickets may look like.


BUY
B | EXCHANGE | BRANCH | ACCOUNT No. | TYPE | R.R. No. | DAY OPEN
QUANTITY | SECURITY | PRICE LIMIT | EXECUTION PRICE
CUSTOMER NAME AND ADDRESS | SOLICITED _ | UNSOLICITED _ | DISCRET'Y A/C _ | CANCEL
AMOUNT
FUNDS, LOCATION | INTEREST
COM.
BOUGHT FROM
NET
NEW | BROKERAGE | SOARING SECURITIES | CHECKED BY

SELL
S | EXCHANGE | BRANCH | ACCOUNT No. | TYPE | R.R. No. | LONG SHORT | DAY OPEN
QUANTITY | SECURITY | PRICE LIMIT | EXECUTION PRICE
CUSTOMER NAME AND ADDRESS | SOLICITED _ | UNSOLICITED _ | DISCRET'Y A/C _ | CANCEL
AMOUNT
SECURITY LOCATION | INTEREST OR ST. TAX
SEC.
SOLD TO
COM.
NET
EXEC. BRKR. | BROKERAGE | SOARING SECURITIES | CHECKED BY

FIGURE 16-1: Buy and sell order tickets have spaces for the info you need to make a trade.

Designating unsolicited trades

Normally, you'll be recommending securities in line with a customer's investment objectives. If, however, the customer requests a trade that you think is unsuitable, it's your duty to inform him about it. You don't have to reject the order (it's the customer's money, and you're in the business to generate commission). If the customer still wants to execute the trade, simply mark the order as *unsolicited,* which takes the responsibility off your shoulders.

A trip to the principal's office: Securing a signature

Principals are managers of a firm. All brokerage firms must have *at least two principals* (unless the firm is a sole proprietorship). When you open or trade an account, you have to bring the new account form or order ticket to a principal to sign. Principals need to approve all new accounts, all trades in accounts, and all advertisements and sales literature; they also handle all complaints (lucky break for you!), oversee employees, and watch for potential red flags. A principal doesn't have to approve a prospectus or your recommendations to your customers.

REMEMBER Although you'll generally bring an order ticket to a principal right after taking an order, the principal can sign the order ticket later in the day. If you're questioned about this on the SIE exam, you want to answer that the principal needs to approve the trade on the same day, not before or immediately after the trade.

Proportionate sharing

Members or associated persons are prohibited from sharing in the profits or losses in a customer's account. An exception to this rule is if the associated person contributed to the account. In that case, the associated person needs a written authorization from the customer and principal, and the profits and/or losses are shared by the customer and associated member based on the percentage contributed. Exempt from the rule of proportional sharing are accounts of immediate family (parents, mother-in-law, father-in-law, spouse, or children) of the associated member.

Checking your calendar: Payment and settlement dates

Securities that investors purchase have different payment and settlement dates. Here's what you need to know:

- **Trade date:** The day the trade is executed. An investor who buys a security owns the security as soon as the trade is executed, whether or not he has paid for the trade.
- **Settlement date:** The day the issuer updates its records and the certificates are delivered to the buyer's brokerage firm.
- **Payment date:** The day the buyer of the securities must pay for the trade.

TIP Unless the question specifically asks you to follow FINRA or NYSE rules (which I doubt it will), assume the Fed regular way settlement and payment dates as they appear in Table 16-1. The FINRA and NYSE rules both require payment for securities to be made no later than the settlement date, but the Federal Reserve Board states that the payment date for corporate securities is five business days after the trade date.

TABLE 16-1 Regular Way Settlement and Payment Dates

Type of Security	***Settlement Date (in Business Days after the Trade Date)***	***Payment Date (in Business Days after the Trade Date)***
Stocks and corporate bonds	2 (T+2 — two business days after the trade date)	4

Type of Security	***Settlement Date (in Business Days after the Trade Date)***	***Payment Date (in Business Days after the Trade Date)***
Municipal bonds	2 (T+2)	2
U.S. government bonds	1 (T+1)	1
Options	1 (T+1)	4

REMEMBER Cash trades (which are same-day settlements) require payment for the securities and delivery of the securities on the same day as the trade date.

In certain cases, securities may not be able to be delivered as in the preceding chart. In these cases, the seller may specify that there's going to be a *delayed delivery*. There can also be a *mutually agreed upon* date in which the buyer and seller agree on a delayed delivery date prior to or at the time of the transaction.

The *when, as, and if issued (when-issued transaction)* method of delivery is used for a securities issue that has been authorized and sold to investors before the certificates are ready for delivery. This method is typically used for stock splits, new issues of municipal bonds, and Treasury securities (U.S. government securities). The settlement date for when-issued securities can be any of the following:

- A date to be assigned
- Two business days after the securities are ready for delivery
- On the date determined by the FINRA

Regulation S-P

According to Regulation S-P, broker-dealers, investment companies, and investment advisors must "adopt written policies and procedures that address administrative, technical, and physical safeguards for the protection of customer records and information." This means that members must provide a way for securing customers' nonpublic information, such as social security numbers, bank account numbers, or any other personally identifiable financial information. Members must provide customers with a notice of their privacy policies. Members may disclose a customer's nonpublic information to unaffiliated third parties unless the customer opts out and chooses not to have his information shared. Members must make every effort to safeguard customers' information, including securing computers, encrypting emails, and so on.

Confirming a trade

A *trade confirmation* (receipt of trade) is the document you send to a customer after a trade has taken place. You have to send out trade confirmations after each trade, at or before the completion of the transaction (the settlement date). Here's a list of information included in the confirmation:

- The customer's account number
- The registered rep's ID number
- The trade date
- Whether the customer bought (BOT), sold (SLD), or sold short
- A description of the security purchased or sold
- The number of shares of stock or the par value of bonds purchased or sold
- The yield (if bonds)
- The Committee on Uniform Security Identification Procedures (CUSIP) number, a security ID number
- The price of the security

- The total amount paid or received, not including commission or any fees
- The commission, which is added on purchases and subtracted on sales (if the broker-dealer purchased for or sold from its own inventory, the markdown or markup doesn't have to be disclosed)
- The *net amount,* or the amount the customer paid or received after adding or subtracting the commission (if the investor purchased or sold bonds, the accrued interest is added or subtracted during this calculation)
- Whether the trade was executed on a principal or agency basis (the capacity)

REMEMBER You should recognize the items listed in the preceding list, which are required for most securities trades including municipal bonds. However, the MSRB tends to be a little stricter and also requires the following information:

- Whether the member acted as an agent for both the customer and another person for the same trade
- The time of execution for institutional accounts or transactions in municipal fund securities
- The settlement date
- Yield-to-maturity or yield-to-call, whichever is lower
- Final monies, including the total dollar amount of the transaction and accrued interest if applicable
- Whether there's any credit backing the securities (for revenue bonds, the source of revenue; or if there's insurance backing the bonds)
- Any special features of the bonds (callable, puttable, stepped coupon, book-entry only, and so on)
- Information on the status of the securities (pre-refunded, called, escrowed to maturity, securities in default, and so on)

- Tax information (taxable, nontaxable, subject to alternative minimum tax, original issue discount)

PHYSICAL VERSUS BOOK ENTRY

Although many years ago almost all delivery of stock certificates and debt securities (bonds) was in physical form (meaning you actually received the certificate), most delivery and settlement now is in book-entry form. Even though your don't get to actually hold your oft-times cool-looking certificates, book entry helps save money and makes trading much easier. When purchasing securities via book entry, you will receive a receipt of trade, showing you own the securities but will not receive the actual certificates. A record of your trading activity is kept on the financial institution's books. When it comes time to sell the securities, nothing has to be transferred; it is just changed on the institution's books and you receive confirmation (receipt) of the trade.

Financial exploitation of specified adults

With people living longer and the number of seniors increasing, FINRA has recently created rules to help curb or handle cases of financial exploitations of specified adults (seniors — natural persons aged 65 or older — and natural persons aged 18 or older who have mental or physical impairments that render them unable to protect their own interests). In the event that a member believes that the financial exploitation of specified adults has or may be taking place, Rule 2165 allows the member to place a temporary hold on the specified adult's funds or securities.

The SIE and other FINRA exams cover topics related to protecting seniors, including

- Firms' marketing and communications to investors aged 65 and older

- Information required when opening an account for a senior
- Any disclosures provided to senior investors
- Complaints filed by senior investors as well as how the firm handles the complaints
- Supervision of registered reps as they communicate with senior investors
- The suitability and types of securities marketed and sold to senior investors
- The training of a firm's representatives as to how they are to handle the accounts of specified adults

FINRA recently created a helpline for seniors to provide support and assistance.

Borrowing from or lending to …

Registered persons associated with a member firm are prohibited from borrowing money from a customer or lending money to a customer unless the member firm has written procedures allowing borrowing and lending money between registered persons and customers, and one of the following applies:

- The customer is a member of the registered person's immediate family (spouse, mother, father, mother-in-law, father-in-law, children)
- The customer is a financial institution such as a bank that is in the business of providing credit, financing, or loans
- The customer and the registered person are both registered under the same member firm
- The customer and the registered person have a personal relationship outside of the broker-customer relationship
- The customer and the registered person have a business relationship outside of the broker-customer relationship

REMEMBER This only works if the member firm allows borrowing from or lending to customers. The registered member would have to notify and get written approval from his firm prior to entering into a buying or lending arrangement unless it's not required in the firm's written rules.

Following up with account statements

An *account statement* gives the customer information about his holdings in the account along with the market value at the time the statement was issued. Customers are supposed to receive account statements on a regular basis. The timing for issuing account statements should be pretty easy for you to remember. Here's how often you have to send out statements, from most to least often (remember the acronym *AIM*):

- **Active accounts:** If any trading was executed within the month, the customer must receive an account statement for that month.
- **Inactive accounts:** If the customer is not actively trading his account and is just holding a position, an account statement must be sent out at least quarterly (every three months).
- **Mutual funds:** No matter how much (or little) trading was done, a customer needs to receive an account statement semiannually (every six months).

REMEMBER Customers may not only want to know how their accounts are doing, they may wonder about the condition of the firm that they're working with. So, upon request by a customer, a member firm must disclose its financial condition by delivering its most recent balance sheet (not income statement). The balance sheet may be delivered in paper form or in electronic form (email) if the customer agrees to the electronic delivery.

Keeping your dividend dates straight

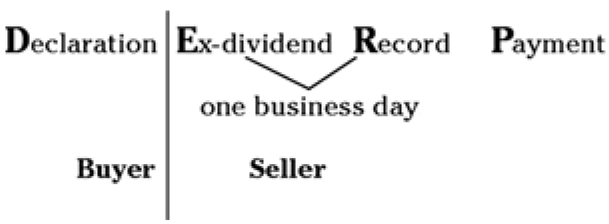
When customers are purchasing securities of a company that's in the process of declaring or paying a dividend, you need to be able to tell those customers whether they're entitled to receive the dividend. Because stock transactions settle in three business days, the customers are entitled to the dividend if they purchase the securities at least three days prior to the *record date.* Here's a list of the four need-to-know dates for the SIE exam:

- **Declaration date:** The day that the corporation officially announces that a dividend will be paid to shareholders.
- **Ex-dividend date:** The first day that the stock trades without dividends. An investor purchasing the stock on the ex-dividend date isn't entitled to receive the dividend; because stock transactions take two business days to settle, the ex-dividend date is automatically one business day before the record date.

  REMEMBER The ex-dividend date is the day that the price of the stock is reduced by the dividend amount. (Chapter 6 tells you more about dividends and related calculations.) When a stock is purchased ex-dividend (on or after the ex-dividend date), the seller is entitled to the dividend, not the buyer. Because the dividend may not be paid for up to a month, the buyer is required to sign a *due bill* indicating that the dividend belongs to the seller. In the case of a cash dividend, the due bill is in the form of a *due bill check,* which is payable on the date the dividend is paid by the issuer. In addition, if an investor buys a stock on time to receive a dividend but for some reason will not receive the certificates on time (by the record date), the seller must send a *due bill* to the buyer. A due bill states that the buyer is entitled to the rights of ownership even though he's not yet receiving the certificates.

- **Record date:** The day the corporation inspects its records to see who gets the dividend. To receive the dividend, the investor must be listed as a stockholder in company records.
- **Payment (payable) date:** The day that the corporation pays the dividend.

As you can see from the diagram, the buyer receives the dividend if he purchases the stock before the ex-dividend date. If the stock is purchased on or after the ex-dividend date, the seller receives the dividend.



TIP To help you remember the sequence of dates, use the phrase *Don't Eat Rubber Pickles.* I know it sounds ridiculous, but the more ridiculous, the easier it is to remember.

REMEMBER The board of directors must announce three dates: the declaration date, the record date, and the payment date. The ex-dividend date doesn't need to be announced because it's automatically one business day before the record date. However, mutual funds have to announce all four dates because they may set their ex-dividend date at any time (even on the record date).

The following question tests your ability to answer a dividend question.

EXAMPLE Wedgie Corp. has just announced a $0.50 cash dividend. If the record date is Tuesday, March 9, when is the last day an investor can purchase the stock and receive the dividend?

(A) March 4

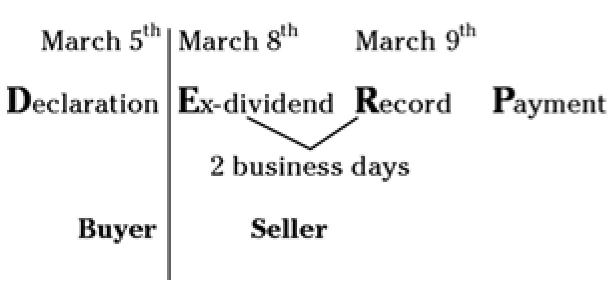
(B) March 5

(C) March 7

(D) March 8

The answer you’re looking for is Choice (B). In order for an investor to purchase the stock and receive a previously declared dividend, he must purchase the stock at least one business day before the ex-dividend date. This question is a little more difficult because you have a weekend to take into consideration.

The ex-dividend date is March 8, which is one business day prior to the record date. This investor has to buy the stock before the ex-dividend date in order to receive the dividend, so he has to buy it March 5 or before (because the 6th and 7th are Saturday and Sunday). The last day an investor can purchase the stock and receive the dividend is March 5.



REMEMBER If a stock is sold short (if the investor is selling a borrowed security), the lender of the stock sold short is entitled to receive the dividend. (See Chapter 9 for details on margin accounts.) Also, the trades in the example problems are regular way settlement (three business days after the trade date); remember that cash transactions settle on the same day as the trade date. In the case of dividends, if an investor purchases stock for cash, he receives the dividend if he purchases the stock anytime up to and including the record date.

Handling complaints

It's bound to happen sooner or later, no matter how awesome you are as a registered rep: One of your customers is going to complain about something (like unauthorized trades, guarantees, and so on). Complaints aren't considered official unless they're in *writing*. If necessary, FINRA wants you to follow the proper procedure for handling complaints. The following sections cover formal and informal proceedings.

Code of procedure (litigation)

The *code of procedure* is the FINRA's formal procedure for handling securities-related complaints between public customers and members of the securities industry (broker-dealers, registered reps, clearing corporations, and so on). The public customer has the choice of resolving the complaint via the formal code of procedure or the informal code of arbitration (see the next section).

In the code of procedure, the District Business Conduct Committee (DBCC) has the first jurisdiction over complaints. If the customer or member isn't satisfied with the results, he can appeal the decision to the FINRA Board of Governors. Decisions are appealable all the way to the Supreme Court.

Code of arbitration

The *code of arbitration* is an informal hearing (heard by two or three arbiters) that's primarily conducted for disputes between members of the FINRA. Members include not only broker-dealers but also individuals working for member firms.

For example, if you (a registered rep) have a dispute with the broker-dealer that you're working for, you can take the broker-dealer to arbitration. If a customer has a complaint against a broker-dealer or registered rep, the customer has the choice of going through code of procedure (see the preceding section) or code of arbitration, unless the customer has given prior written consent (usually by way of the new account form) stating that he will settle disputes only through arbitration.

REMEMBER The decisions in arbitration are binding and non-appealable, so they're less costly than court action. If a member firm or person associated with that member firm fails to comply with the terms of the arbitration (in the case of a loss) within 15 days of notification, FINRA reserves the right to suspend or cancel the firm's or person's membership.

Mediation

If an investor and/or broker-dealer are looking for a more informal way to handle disputes, they may voluntarily decide to go to mediation. Disputes settled through mediation are heard by an independent third party. Unlike arbitration, mediation is nonbinding.

REMEMBER Not all complaints end up going to arbitration, to mediation, or through the court system. Sometimes, the complaints are the result of miscommunication, such as instances in which the customer made a mistake, a customer feels he was charged too much commission, and so on. A lot of these complaints can be handled internally without the need for progression. However, all complaints need to be kept on file along with any action taken.

Retail communications

To help promote their business and to keep customers up to date, member firms continually send out sales literature, publish ads, run commercials, send out research reports, have scripted seminars, and so on. As you can imagine, ads and such cannot omit material facts, exaggerate, or be fraudulent or misleading, and must also explain the potential risks along with the potential benefits. You've probably heard the old disclaimers "past performance does not indicate future performance" and "people can and do lose money" on radio ads. Believe me, they wouldn't put those in unless they had to. FINRA divides communication into three categories:

- **Correspondence:** Any written communication (including electronic) distributed or made available to *25 or fewer* retail investors (ones that are not institutional investors) within a 30-calendar-day period.
- **Retail communication:** Similar to correspondence (see the preceding bullet) but made available to *more than 25* retail investors within a 30-calendar-day period.
- **Institutional communication:** Any written communication (including electronic) distributed or made available only to institutional investors, but not including a member's internal communications. Institutional investors include government entities, mem-

ber firms and registered persons, employee benefit plans, a person acting solely on behalf of any such institutional investor, and so on.

REMEMBER As with just about everything that happens at a brokerage firm, retail communications must be approved by a qualified principal of the firm. Research reports on particular securities must be approved by a supervisory analyst who has expertise in the particular product. Testimonials (if any) must be made by a person who has the knowledge and experience to have a valid opinion. Member firms are in many cases required to file retail communications with FINRA ten business days prior to first use. Members are required to keep the communications for a minimum of three years.

Record-keeping

As you can imagine, member firms must keep certain records on file. Depending on which records they are, there are certain SEC retention requirements. The records do not necessarily need to be kept in written format; they can be kept digitally as long as they are in a non-erasable format.

Corporate or partnership documents of the member firm must be kept for the *lifetime* of the firm. The documents must contain the list of officers, partners, and/or directors of the firm. Additionally, U4 forms of all active employees must be kept as long as the firm is in business.

The following records must be kept for a minimum of *six years:*

- **Blotters:** Records of all trades executed by the brokerage firm for clients and for their own inventory.
- **Ledgers:** Customer account statements, which include trade settlement dates.

- **General ledgers:** A firm's financial statements, which must be updated monthly. A general ledger includes the firm's assets, liabilities, and net worth.
- **Position record:** A record of all the securities owned by the firm and its location.
- **Account record:** Terms and conditions of margin accounts and cash accounts.
- **Closed accounts:** Firms must keep records of customers who've closed accounts for a minimum of six years after the account has been closed.

Note: Like FINRA rules, MSRB rules require blotters, ledgers, closed accounts, and position records to be kept for six years. However, MSRB also requires records relating to the underwriting of municipal securities, complaints (FINRA, four years), supervisory records, and gift records to be kept for six years.

The following records must be kept for a minimum of *3 years:*

- U4 forms, U5 forms, and fingerprints of former employees
- Trade confirmations
- Order tickets
- Advertisements
- Sales literature
- Dividends and interest received in each account
- Powers of attorney
- Speeches/public appearances
- Compliance procedure manuals
- Gifts
- Compensation records of associates

Note: MSRB rules require members to maintain certain records for *four years*. These include subsidiary ledgers, trades, confirmations, terms and conditions of customer accounts, checkbooks and canceled checks, delivery of official statements, public communications, and so on.

REMEMBER Whether the records have to be kept for three years, six years, or whatever, they have to be easily accessible for two years (FINRA and MSRB).

As you can imagine, there are strict penalties for falsification, improper maintenance, or improper retention of records. FINRA reserves the right to inspect the books, records, and accounts of all member firms and their associates. All regulatory requests by FINRA for specified books, records, or accounts should be supplied by the member firm *promptly*.

Committing Other Important Rules to Memory

Brokers and investors must follow numerous rules in order to keep themselves from facing fines or worse. In this section, I list a few of the more important rules.

Sticking to the 5 percent markup policy

The 5 percent policy (FINRA 5 Percent Markup Policy) is more of a guideline than a rule. The policy was enacted to make sure that investors receive fair treatment and aren't charged excessively for broker-dealer services in the over-the-counter (OTC) market. The guideline says that brokerage firms shouldn't charge commissions, markups, or markdowns of more than 5 percent for standard trades.

The following trades are subject to the 5 percent markup policy:

- **Principal (dealer) transactions:** A firm buys securities for or sells securities from its own inventory and charges a markdown or markup.

- **Agency (broker) transactions:** A firm acts as a middleman (broker) and charges a commission.
- **Riskless (simultaneous) transactions:** A firm buys a security for its own inventory for immediate resale to the customer (riskless to the firm).
- **Proceeds transactions:** A firm sells a security and uses the money to immediately buy another security. You must treat this transaction as one trade (you can't charge on the way out and on the way in).

REMEMBER The 5 percent markup policy covers *over-the-counter trades of outstanding, nonexempt securities with public customers.* If securities are exempt from SEC registration, or if they're new securities that require a prospectus, they're exempt from the 5 percent policy. Additionally, if a dealer pays $20 per share to have a security in inventory (dealer cost) and the market price is $8 per share, the dealer can't charge customers $20 per share so that it doesn't take a loss.

Under extenuating circumstances, the brokerage firm may charge more. Justifiable reasons for charging more (or less) than 5 percent include

- Experiencing difficulty buying or selling the security because the market price is too low or too high
- Handling a small trade — for example, if a customer were to place an order for $100 worth of securities, you'd lose your shirt if you were to charge only 5 percent ($5); in this case, you wouldn't be out of line if you were to charge 100 percent (by the same token, if a customer were to purchase $1 million worth of securities, 5 percent [$50,000] would be considered excessive)
- Encountering difficulty locating and purchasing a specific security
- Incurring additional expenses involved in executing the trade

- Dealing with odd lot trades (trades for less than the normal unit of trading — typically 100 shares)
- Trading non-liquid securities
- Executing transactions on foreign markets

REMEMBER The 5 percent markup policy is a guideline and not a hard and fast rule. There are situations where charging a customer 5 percent would be considered excessive. For argument's sake, say you're lucky enough to have a customer who routinely likes to make trades of $1 million and you charge her 5 percent — that would be $50,000 in commission for one trade. In that case, you would definitely be frowned upon, so you may charge that customer 1 percent or maybe half a percent.

Note: The 5 percent markup policy is a guideline that member firms should use when making trades. However, firms may also charge customers for services performed other than trading securities. These services include collection of monies due for principal, interest, or dividends. They may also charge for the exchange or transfer of securities or the safekeeping of customers' securities. The main thing for you to remember is that the charges should be reasonable and not unfairly discriminatory (in other words, all customers should be charged the same for the same services performed).

Avoiding violations

It's up to your firm and you to understand violations and avoid them. FINRA expects its members and their representatives to "observe high standards of commercial honor and just and equitable principles of trade."

REMEMBER You need to be aware of some violations not only for the SIE exam but also so you stay out of trouble. Of course the entire book and this chapter are filled with rules and violations. However, some violations can be summed up in a sentence or two (or three) — that's what this section is for. Some of the violations are more connected with broker-dealers, some with registered reps, and some with investment advisors. Violators are subject to sanctions such as fines, censures, suspensions, expulsions, and so on.

- **Commingling of funds:** Combining a customer's fully paid and margined securities or combining a firm's securities with customer securities.
- **Interpositioning:** Having two securities dealers act as agents for the same exact trade, so that two commissions are earned on one trade.
- **Giving (or receiving) gifts:** Giving or receiving a gift of more than $100 per customer per year. Business expenses (lunch, dinner, hotel rooms, and so on) are exempt from this MSRB rule (see "Self-regulatory organizations," earlier in this chapter).
- **Making political contributions (paying to play):** Under the Investment Advisers Act of 1940, investment advisors are prohibited from providing investment advisory services for a fee to a government client for two years after a contribution is made. This rule applies not only to the advisor, executives, and employees making contributions to certain elected officials but also to candidates who may later be elected. In addition, investment advisors are prohibited from soliciting contributions for elected officials or candidates if the investment advisor is seeking or providing government business.
- **Falsifying or withholding documents:** Firms cannot make up information or withhold needed documents from customers or any SRO.

- **Signatures of convenience:** Basically, forging a customer's signature even if approved by the customer is a violation.
- **Guarantees:** Members and associates are prohibited from making guarantees against loss in any securities transaction or in any securities account of a customer.
- **Improper use:** Members and associates are prohibited from making improper use of a customer's securities or funds.
- **Freeriding:** Allowing a customer to buy or sell securities without paying for the purchase.
- **Backing away:** Failure on the part of a securities dealer to honor a firm quote.
- **Churning:** A violation whereby a registered rep excessively trades a customer's account for the sole purpose of generating commission.
- **Use of manipulative, deceptive, or other fraudulent devices:** Members are prohibited from inducing the sale or purchase of any security by means of manipulation, deception, or any other fraudulent device or contrivance.
- **Trading ahead of research reports:** No member shall trade a security based on information received from a research report prior to that research report being released publicly.
- **Trading ahead of customer orders:** Members are prohibited from placing their order ahead of a customer's order. Their job is to get their customer the best price, and placing their order ahead of the customer's will likely cause the customer to get a worse price.
- **Not disclosing a financial relationship with the issuer:** It is a violation to not disclose if your firm has a financial relationship (it is controlled by, has controlling interest in, or is under common control with) the issuer. In the event that there is a financial relationship, it must be disclosed (given to or sent to) the customer prior to the completion of the transaction.
- **Frontrunning:** A violation in which a registered rep executes a trade for himself, his firm, or a discretionary account based on knowledge of a block trade (10,000 shares or more) before the trade is reported on the ticker tape.

- **Prearranging trades:** A prearranged trade is an illegal agreement between a registered rep and a customer to buy back a security at a fixed price.
- **Paying for referrals:** Members or persons associated with a member (for example, registered reps) are prohibited from paying cash or noncash compensation to any person except those registered with the member firm or other FINRA members. A violation occurs in the event that compensation is paid to a nonmember for locating, introducing, or referring a client.

Some violations include some sort of *market manipulation.* These include

- **Market rumors:** Members are prohibited from spreading false market rumors that may prompt others to either buy or sell a security.
- **Pump and dump:** This is fake news that most often happens with penny stocks. In this case, the promoters send out mass emails or regular mail to paint a glowing report on a particular security, thus pumping it up. Because of the positive reports, many investors purchase the security and drive the price up. At that point, the promoters sell (dump) their shares for a nice profit.
- **Excessive trading:** A violation whereby a trader places both buy and sell orders on the same security around the same time, thus making it look like there's a lot of trading activity on that security.
- **Marking the open/marking the close:** Executing a series of trades within minutes of the open or close to manipulate the price of a security.
- **Matching orders:** Illegally manipulating the price of a security to make the trading volume appear larger than it really is, such as two brokerage firms working in concert by trading the same security back and forth.
- **Painting the tape:** Creating the illusion of trading activity due to misleading reports on the consolidated tape — for example, report-

ing a trade of 10,000 shares of stock as two separate trades for 5,000 shares each.

- **Paying the media:** A violation in which brokerage firms or affiliated persons pay an employee of the media (website, newspaper, magazine, radio, TV show, and so on) to affect the price of a security; for example, paying a TV stock expert to recommend a security that the firm has in its inventory.
- **Anti-intimidation/Coordination:** Members may not intimidate (threaten, harass, coerce, and so on) other members into changing their price(s) on a security. In addition, a member may not coordinate with another member to adjust the price of a security.

Gifts and gratuities

It is considered a violation for a member firm to distribute cash or noncash compensation to the employees of another member firm regarding the sale and distribution of securities unless all of the following apply:

- The compensation is not conditional on sales by the other firm.
- It has prior approval from the other member firm.
- The total amount of compensation does not exceed the limit of $100 per year.

Noncash compensation could be season tickets for the Jets, sending someone on vacation, gift certificates, and so on. Providing an occasional meal, ticket to a sporting event, and such are considered acceptable business entertainment expenses as long as they're neither too expensive nor too frequent. And, certain noncash expenses are considered okay as long as they're business related — for example, paying for a business dinner, paying for a seminar, providing airline tickets, and so on. In addition, you don't have to keep track of things that provide advertising, such as pens with your name on them, coffee mugs with your picture, and so on.

Also, FINRA wants to make sure that members and their associates are making recommendations based on their belief that they fall in line with their customer's investment strategy and their belief that the product(s) recommended is/are the right ones. So, in order to curb potential conflict of interest, similar cash and noncash compensation rules are put in place for program sponsors, such as investment companies. FINRA just wants to make sure that recommendations are not based on the fact that members or their associates owe someone.

Following the money: Anti-money-laundering rules

The *Bank Secrecy Act* establishes the U.S. Treasury Department as the regulator for anti-money laundering programs. All broker-dealers are required to develop programs to detect possible money-laundering abuses. In addition, all broker-dealers must review the Office of Foreign Asset Control's (OFAC) Specially Designated National's (SDN) list to make sure that they're not doing business with individuals or organizations that are on the list. Anti-money-laundering programs are designed to help prevent dirty money that has been cleaned (made to look like it came from a legitimate source) from being used to fund terrorist activities, illegal arms sales, drug trafficking, and so on. Here are three stages of money laundering that you must be aware of for the SIE exam (please, don't try this at home):

1. **Placement**
   In this initial stage of money laundering, the funds, derived from criminal activity, are transferred into the financial system (typically via banks and broker-dealers).
2. **Layering**
   Layering is the money launderers' attempt to disguise the source of the funds, usually by moving the funds from one place to another through a series of transactions.
3. **Integration**
   Integration is the final stage of money laundering, when illegal funds are mixed *(commingled)* with legitimate funds. Launderers

usually accomplish this step through businesses that operate using cash, importing and exporting companies, and so on.

REMEMBER Broker-dealers and other financial institutions must report any *cash or cash equivalent* deposits, withdrawals, or transfers of *$10,000* or more through a Currency Transaction Report (CTR) to FinCEN (the U.S. Treasury Financial Crimes Network). An institution must report suspicious activity of *$5,000 or more of any type of transaction* to FinCEN by filing a Suspicious Activity Report (SAR).

Here are some indications of money laundering at the opening of the account:

- Concern with U.S. government reporting requirements
- Reluctance to reveal information about business activities
- Suspect ID such as a license or passport that looks like it was made in someone's basement
- Irrational transactions that are inconsistent with objectives
- A fiduciary (the person who can legally make decisions for another investor) who's reluctant to provide information about the customer
- An individual's lack of general knowledge of his industry

And here are some shady signals to look out for after the account is open:

- Making deposits of large amounts of cash or money orders
- *Structuring* — making cash or cash-equivalent deposits (such as money orders) of just under $10,000 to avoid having them be reported to the U.S. government
- Making wire transfers to non-cooperative countries
- Engaging in sudden and unexplained wire activity

- Making a deposit and transferring it to another party without any business purpose
- Buying a long-term investment and liquidating it in the short term
- Making transfers between multiple accounts for no apparent reason
- Depositing bearer bonds and requesting the money immediately
- Displaying a total lack of concern about risks and commissions

TIP The signs of money laundering tend to make sense, so when answering an SIE exam question about money laundering, think to yourself, "If it looks like a duck and quacks like a duck, it's probably a duck" — or in financial terms, "If it looks and seems like money laundering, it's probably money laundering."

AML compliance program

Under the Bank Secrecy Act, all financial institutions, including broker-dealers, must develop and carry out anti-money laundering (AML) programs. These programs must be approved in writing by a firm's senior management. Financial institutions and broker-dealers must do the following:

- Initiate and carry out policies and procedures designed to detect and report suspicious transactions
- Initiate and carry out policies, procedures, and internal controls that are designed to comply with the Bank Secrecy Act's regulations
- Set up annual independent testing to make sure that the firm is complying with the AML rules under the Bank Secrecy Act
- Appoint and indicate to FINRA (by name, title, email address, phone number, and so on) the people responsible for implementing and overseeing the daily internal controls of its AML program

REMEMBER AML programs are not necessarily static and are subject to change. Each firm is responsible for making sure that its AML programs remain current.

Insider trading rules

Insider trading is a violation that occurs when an individual trades a particular publicly traded security based on information that has not been released (or adequately released) to the public (known as *material nonpublic information*). According to the Insider Trading and Securities Fraud Enforcement Act of 1988, both the tipper (the one who shared the nonpublic information) and the tippee (the one who traded based on the tip) are liable.

Charges of insider trading have been brought against

- Officers, directors, and employees of a corporation who traded the corporation's securities after learning of important, confidential corporate developments
- Family members, friends, business associates, and other people (tippees) who received tips from the officers, directors, and employees who traded the corporate securities based on confidential information received
- Government employees who traded based on confidential information received because of their employment with the government which has not (or not yet) been released to the public
- Employees of brokerage, banking, law, and printing firms who executed trades based on confidential information received as part of their job
- Political intelligence consultants who have given tips or traded based on material nonpublic information they received from government employees

- Other persons who have taken advantage of or traded on confidential information they received from employers, friends, family, and others

REMEMBER Putting it in simple terms, material nonpublic (inside) information is information that could affect the market value of a security but the information has not been released (or adequately released) to the public.

Penalties for insider trading

As you can imagine, the penalties for insider trading are pretty severe.

- The maximum criminal fine for an individual is $5 million per violation and $25 million per business per violation.
- The maximum prison sentence is 20 years per violation.
- The maximum civil sanctions are three times the gain or three times the loss avoided plus disgorgement of profits.

Contemporaneous traders

Persons who enter orders at or about the same time as the person trading on inside information on the opposite side of the market are called contemporaneous traders. So, for argument's sake, if the person with inside information sold shares of ABC common stock due to inside information, a contemporaneous trader would be one who bought shares of ABC common stock at or about the same time (and vice versa). In this case, the contemporaneous trader may actually sue the person who violated the insider trading rules. The suits may be initiated up to five years after the occurrence.

The Investor's Bankruptcy Shield: FDIC and SIPC

The Federal Deposit Insurance Corporation (FDIC) provides deposit insurance, which guarantees a certain level of safety to people who have money on deposit at a bank. FDIC protects accounts from bank failure (bankruptcy). At the present time, each depositor is protected up to $250,000.

The Securities Investor Protection Corporation (SIPC), which was created under the Securities Investor Protection Act of 1970, protects the customer against broker-dealer bankruptcy. Although it's not a government agency, this private, nonprofit organization was created by the government in 1970. The SIPC protects each separate customer's assets (securities and cash) up to $500,000 total, of which no more than $250,000 can be cash.

Although brokerage firms are required to follow *net capital rules* — specifically, SEC Rule 15c3-1 — that are designed to minimize the chances of broker-dealer failure and protect customer assets, broker-dealers occasionally (too often) declare bankruptcy.

All members must advise clients at the opening of the account of the availability of SIPC protection and must provide an SIPC brochure and info on contacting SIPC, including the SIPC's web address and telephone number. In addition, clients must receive all that same info in writing at least once a year.

The following question concerns SIPC coverage.

EXAMPLE John Fredericks has a cash account with $150,000 in securities and $300,000 cash and a margin account with $50,000 in equity. Additionally, John has a joint cash account with his wife Mary with $250,000 in securities and $300,000 cash. If John's broker-dealer goes bankrupt, what is his coverage under SIPC?

(A) $450,000

(B) $500,000

(C) $850,000

(D) $950,000

The right choice is (D). If one of your customers has a cash and margin account titled under one name, as John does, it's treated as though it belongs to one customer. Therefore, John's cash and margin account is covered up to $500,000, of which no more than $250,000 can be cash. He's covered for the $200,000 in securities ($150,000 in securities plus the $50,000 equity) and $250,000 of the $300,000 cash for a total of $450,000. Next, the joint account with his wife is treated as though from a separate customer. Therefore, that account is covered for the $250,000 in securities and $250,000 in cash. Add the two together, and you see that John is covered for a total of $950,000 ($450,000 plus $500,000).

REMEMBER If an investor is not fully covered under SIPC, the investor is still owed money by the bankrupt broker-dealer; therefore, the investor becomes a *general creditor* of the firm for the balance owed.

Holding a customer's mail

If one of your customers is not receiving mail at her usual address because she is traveling, moving, or whatever, your firm can hold her mail for a specified time period up to three months (or longer if for safety or security concerns). This typically has to do with confirmations and account statements that the firm would normally mail. The member firm must have a way to contact the customer in a timely manner (by phone, email, and so on) and the firm must provide a way for the customer to receive information regarding her account (typically via email or through the member's website). In addition, the member firm must verify at reasonable intervals that the customer's instructions still apply.

Business continuity plans and emergency contact information

FINRA requires that all member firms must set up and maintain business continuity plans to deal with the possibility of a business disruption. The idea is to make sure that customers will still be able to contact the firm and be able to access their securities and funds during an emergency. Although the plan is somewhat flexible depending on the member's business, some of the items the plan should address include the following:

- Hard copy and electronic data back-up and recovery
- Alternate communications between customers and members
- Alternate communications between members and their employees
- Alternate physical location of employees
- Regulatory reporting
- Communication with regulators
- How the member firm will assure that customers will be able to have prompt access to their securities and funds in the event that the member is unable to continue business

TIP There are a few other things that could be on this list such as "all mission-critical systems" (ways they would be able to handle customers' orders and such), "financial and operational assessments" (how a member's operations would change), and so on. However, the preceding list should be able to get you through SIE exam questions related to what needs to be on a firm's business continuity plan.

Members are required to have a member of senior management (who must be a principal) approve of their business continuity plan. That member is also responsible for conducting an annual review. The member's plan must be disclosed to customers in writing at the opening of their account, posted on the firm's website (if any), and mailed to customers upon request. In addition, besides providing the plan info to FINRA, they must also provide emergency contact information to FINRA (FINRA must receive the names of two principals and members of senior management to contact in the event of an emergency; if the contact info changes, it must be updated within 30 days). In the event that any info changes regarding the business continuity plan, the firm is responsible for updating its customers, employees, and FINRA.